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भारतीय लागत लेखाकार संस्थान

Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

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CHAPTER- IV

Part- F

Income From Other Sources



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Section-92 of Income Tax Act, 2025

Income From Other Sources



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Section 92 – Income From Other Sources

- (1) *“Income of every kind which is not to be excluded from the total income under this Act, shall be chargeable to income-tax under the head “Income from other sources”, if it is not chargeable to income-tax under any of the heads specified in section 13(a) to (d).*
- (2) *In particular, and without prejudice to the generality of the provisions of sub-section (1), the following incomes shall be chargeable to income-tax under the head “Income from other sources”:*—
- (a) *any dividend;*
- (b) *any winning from lotteries, crossword puzzles, races including horse races, card games and other games of any sort or from gambling or betting of any form or nature;*
- (c) *any sum received by the assessee from employees as contributions to any provident fund, superannuation fund, any fund set up under the Employees’ State Insurance Act, 1948 (34 of 1948), or any other fund for the welfare of such employees, if the income is not chargeable to income-tax under the head “Profits and gains of business or profession”;*
- (d) *any sum received under a Keyman insurance policy, as defined in Schedule II (Note 1) including the bonus allocated on such policy, if such income is not chargeable to income-tax under the head “Profits and gains of business or profession” or under the head “Salaries”;*
- (e) *any income by way of interest on securities, if the income is not chargeable to income-tax under the head “Profits and gains of business or profession”*

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Section 92 – Income From Other Sources

“(f) any income from machinery, plant or furniture belonging to the assessee and let on hire, if the income is not chargeable to income-tax under the head “Profits and gains of business or profession”;

“(g) any income from letting on hire of machinery, plant or furniture, belonging to the assessee and also buildings, where the letting of the buildings is inseparable from the letting of such machinery, plant or furniture, if the income is not chargeable to income-tax under the head “Profits and gains of business or profession”;

“(h) any sum of money received as an advance or otherwise during negotiations for the transfer of a capital asset, if—

“(i) such sum is forfeited; and

“(ii) the negotiations do not result in transfer of such capital asset;

“(i) any income by way of interest received on compensation or on enhanced compensation referred to in section 278(1);

“(j) any compensation or other payment, due to or received by any person, by whatever name called, in connection with the termination of his employment, or the modification of its terms and conditions;

“(k) any specified sum received by a unit holder from a business trust during the tax year with respect to a unit held by him at any time during such tax year, the computation of which shall be—”



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Section 92 – Income From Other Sources

“specified sum = A-B-C (which shall be deemed to be zero, if the sum of B and C is greater than A), where—

A = aggregate of the sum distributed by the business trust with respect to such unit, during the tax year or during any earlier tax year or years, to such unit holder, who holds such unit on the date of distribution of sum or to any other unit holder who held such unit at any time prior to the date of such distribution, which is—

- (a) not in the nature of income referred to in Schedule V (Table: Sl. No. 3 or 4); and*
- (b) not chargeable to tax under section 223(2);*

B = amount at which such unit was issued by the business trust; and

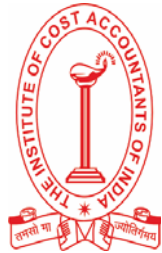
C = amount charged to tax under this clause in any earlier tax year;

(l) where any sum, including bonus allocated, is received, during a tax year, under a life insurance policy, other than—

- (a) sums received under a unit linked insurance policy; or*
- (b) income referred to in clause (d),*

and such sum is not to be excluded from the total income of that tax year under Schedule II (Table: Sl. No. 2), the sum exceeding the aggregate of the premium paid, during the term of such life insurance policy, and not claimed as a deduction under this Act, computed in such manner, as may be prescribed;

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Section 92 – Income From Other Sources

“Section 92 -Income from other sources.

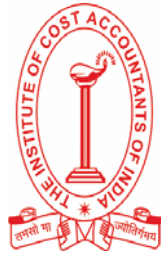
- (1) *“Income of every kind which is not to be excluded from the total income under this Act, shall be chargeable to income-tax under the head “Income from other sources”, if it is not chargeable to income-tax under any of the heads specified in section 13(a) to (d).*
- (2) *In particular, and without prejudice to the generality of the provisions of sub-section (1), the following incomes shall be chargeable to income-tax under the head “Income from other sources”:*—”

Understanding the Scope of Sections 92(1) and 92(2) of the Income Tax Act, 2025

The head “Income from Other Sources” operates as a residuary charging provision, bringing to tax all receipts not falling under other heads, specifically including dividends, gambling winnings, interest income, hire charges (Not covered under PGBP), specified insurance receipts (Not covered under PGBP/Salaries), forfeited advances relating to capital assets, distributions from business trusts, and receipts of money or property without or for inadequate consideration exceeding prescribed limits and specific computation rules governing business trust distributions and life insurance proceeds. Further, explanation of some important limbs of 92(2) as below:

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Section 92(2)(a) read with section 2(40) of the Income Tax Act'2025

As per section 92(2)(a) of the Income Tax Act'2025

*“(2) In particular, and without prejudice to the generality of the provisions of sub-section (1), the following incomes shall be chargeable to income-tax under the head “Income from other sources”:—
(a) any dividend;”*

In the given scenario any dividend received by an assessee shall be taxable under the head Income From Other Sources. Accordingly deemed dividend covered under section 2(40) is also taxable under this head of income.

Section 2(40)(e) states that,

*“(e) any payment by a company, not being a company in which the public are substantially interested, of any sum (whether as representing a part of the assets of the company or otherwise),—
(i) as an advance or loan to a shareholder, being a person who is the beneficial owner of shares (not being shares entitled to a fixed rate of dividend, with or without a right to participate in profits) holding not less than 10% of the voting power; or
(ii) as an advance or loan to any concern in which such shareholder is a member or a partner and in which he has a substantial interest (herein referred to as the said concern); or”*

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Section 92(2)(a) read with section 2(40) of the Income Tax Act'2025

(iii) made on behalf, or for the individual benefit, of any such shareholder, to the extent to which the company in either case possesses accumulated profits;

Understanding of section 92(2)(a) read with section 2(40)(e) with an example:

ABC Pvt. Ltd., a closely held company, has accumulated profits of ₹15,00,000. Mr. X holds 20% of the voting power in the company. During the year, the company granted a loan of ₹10,00,000 to Mr. X. Further, the company also advanced ₹12,00,000 to XYZ Firm, in which Mr. X is a partner holding 40% share. Examine the tax implications of the above transactions in the hands of Mr. X.

As per the provisions relating to deemed dividend, any loan or advance given by a closely held company to a shareholder holding not less than 10% of the voting power, or to a concern in which such shareholder has a substantial interest, is treated as dividend to the extent of accumulated profits.

In the present case, ABC Pvt. Ltd. is a closely held company and Mr. X holds 20% of the voting power, thereby satisfying the shareholding condition.

The loan of ₹10,00,000 given directly to Mr. X qualifies as deemed dividend, since it is an advance to a significant shareholder.

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Section 92 – Income From Other Sources

Further, the advance of ₹12,00,000 to XYZ Firm also falls within the scope of deemed dividend, as Mr. X has substantial interest (40% share) in the firm. Although the loan is given to the firm, it is deemed dividend in the hands of Mr. X.

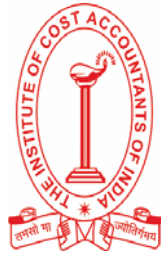
However, the total amount chargeable as deemed dividend cannot exceed the accumulated profits of the company, which is ₹15,00,000.

Accordingly, the aggregate of ₹22,00,000 (₹10,00,000 + ₹12,00,000) is restricted to ₹15,00,000, and the same shall be taxable as deemed dividend in the hands of Mr. X.



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Section 92(2)(l) of the Income Tax Act' 2025

As per section 92(2)(l) of the Income Tax Act' 2025

“(l) where any sum, including bonus allocated, is received, during a tax year, under a life insurance policy, other than—

(a) sums received under a unit linked insurance policy; or

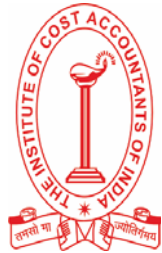
(b) income referred to in clause (d),

and such sum is not to be excluded from the total income of that tax year under Schedule II (Table: Sl. No. 2), the sum exceeding the aggregate of the premium paid, during the term of such life insurance policy, and not claimed as a deduction under this Act, computed in such manner, as may be prescribed;”

The manner for computation of income from any sum, including bonus allocated, is received, during a tax year, under a life insurance policy, other than— (a) sums received under a unit linked insurance policy; or (b) income referred to in clause (d) of this subsection, is prescribed under rule 59 of the Income Tax Rule, 2026 (earlier rule 11UACA of the Income Tax Rule, 1962).

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Section 92(2)(I) of the Income Tax Act' 2025

Example-based understanding of income computation of receipt from life insurance policies:

Mr. Z aged 29 year is a resident Indian who has the two life insurance policies. Those are given below

Particulars	Policy - I	Policy – II
Date of issue	1.4.2017	1.4.2018
Annual premium	Rs. 50,000	Rs. 40,000
Date when premium falls due every year	1 st April	1 st April
Date of maturity	31.03.2026	31.03.2026
Consideration received on maturity (including bonus)	7,00,000	4,00,000
Sum assured	6,00,000	3,50,000

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Section 92(2)(i) of the Income Tax Act' 2025

Policy I:

The maturity proceeds from **Policy I** shall **not be included in total income** under **Schedule II** [Table: Sl. No. 2], as the **premium-to-sum assured ratio does not exceed 10%**.

Policy II:

The Policy II will be included in the total income as premium paid is more than 10% of sum assured.

Total Premium Paid: ₹40,000 × 8 years = ₹3,20,000

Amount Received: ₹4,00,000

As per Rule 59, the taxable amount under the head “Income from Other Sources” shall be computed as:

Taxable Amount = A – B

Where:

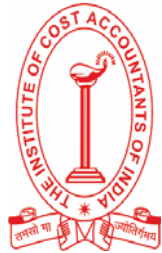
A = Aggregate amount received under the policy during the first tax year = ₹4,00,000

B = Total premium paid (not claimed as deduction earlier) = ₹3,20,000

Hence, taxable income = ₹4,00,000 – ₹3,20,000 = ₹80,000

Accordingly, ₹80,000 shall be taxable in the hands of Mr. Z under the head “Income from Other Sources.”

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Section 92(2)(k): Amount received from Business Trust

As per section 92(2)(k) of the Income Tax Act, 2025

(k) any specified sum received by a unit holder from a business trust during the tax year with respect to a unit held by him at any time during such tax year, the computation of which shall be—

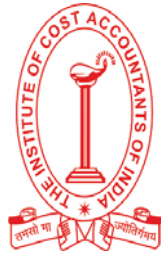
*specified sum = $A - B - C$ (which shall be deemed to be zero, if the sum of B and C is greater than A), where—
A = aggregate of the sum distributed by the business trust with respect to such unit, during the tax year or during any earlier tax year or years, to such unit holder, who holds such unit on the date of distribution of sum or to any other unit holder who held such unit at any time prior to the date of such distribution, which is—*

(a) not in the nature of income referred to in Schedule V (Table: Sl. No. 3 or 4); and

(b) not chargeable to tax under section 223(2);

B = amount at which such unit was issued by the business trust; and

C = amount charged to tax under this clause in any earlier tax year;



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Section 92(2)(k): Amount received from Business Trust

Example-based understanding of income computation of specified sum receipt from Business Trust:

Mr. X is a unit holder in a business trust. He purchased units for ₹1,00,000. Over the years, he received distributions of ₹40,000 in FY 2023-24, ₹50,000 in FY 2024-25, and ₹30,000 in FY 2025-26. Out of these, ₹10,000 has already been taxed in earlier years under the relevant provisions.

The taxability of the amount received by Mr. X during the year and the **specified sum** chargeable to tax is,

As per the provisions relating to taxation of distributions from a business trust, any **specified sum** received by a unit holder is taxable. The specified sum is computed as: **Specified Sum = A – B – C**

In the given case for FY 2025-26:

Aggregate distributions (A) = ₹40,000 + ₹50,000 + ₹30,000 = ₹1,20,000

Issue price of units (B) = ₹1,00,000

Amount already taxed (C) = ₹10,000

Accordingly, **Specified Sum = ₹1,20,000 – ₹1,00,000 – ₹10,000 = ₹10,000**

Therefore, **₹10,000 shall be chargeable to tax in the hands of Mr. X.**

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Comparative analysis between 92(2)(m) of ITA, 2025 vs 56(2)(x) ITA, 1961

Section 92(2)(m) of ITA, 2025

92(2)(m) where any person receives in any tax year, from any person or persons—

(i) any sum of money without consideration, the total of which exceeds ₹ 50000, the whole of such sum;

(ii) any immovable property—

(A) without consideration, the stamp duty value of which exceeds ₹ 50000, the stamp duty value of such property;

(B) for a consideration, the stamp duty value of such property **that exceeds** such consideration, if this excess amount is more than the higher of the following amounts:—

(I) ₹ 50000; or

(II) 10% of the consideration;

Section 56(2)(x) of ITA, 1961

56(2)(x) where any person receives, in any previous year, from any person or persons on or after the 1st day of April, 2017,-

(b) any immovable property,-

(A) without consideration, the stamp duty value of which exceeds fifty thousand rupees, the stamp duty value of such property;

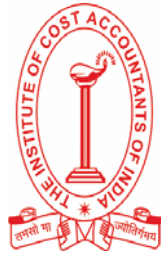
(B) for a consideration, the stamp duty value of such property **as exceeds** such consideration, if the amount of such excess is more than the higher of the following amounts, namely:—

(i) the amount of fifty thousand rupees; and

(ii) the amount equal to ⁴¹[ten per cent.] of the consideration:

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Comparative analysis between 92(2)(m) of ITA,25 vs 56(2)(x) ITA,61

Interpretation

Under Section 92(2)(m)(ii)(B), which provides for taxation of excess stamp duty value in respect of immovable property, a notable change in language has been introduced. The earlier phrase “the stamp duty value... **as exceeds** such consideration” has been replaced with “the stamp duty value... **that exceeds** such consideration.”

Grammatically, the expression “**as exceeds**” clearly denotes **taxation of only the differential amount**, i.e., the excess of stamp duty value over the stated consideration. In contrast, the phrase “**that exceeds**” is **capable of a broader interpretation, potentially suggesting that the entire stamp duty value** may be brought to tax where it exceeds the consideration.

This change gives rise to a material interpretational ambiguity, which could expose taxpayers to a significantly higher tax liability than was envisaged under the earlier provision, notwithstanding the safe harbour threshold of a 10%.

However, practically it is understood that earlier treatment would continue until the said ambiguity in drafting is negatively interpreted by the department.

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Analysis of Section 92(2)(m)(i) of ITA,25

Under section 92(2)(m)(i) of the ITA'25, where any person receives in any tax year, from any person or persons, any sum of money without consideration and the total of which exceeds ₹ 50000, the whole of such sum will be chargeable to Income From Other Sources.

- **Whether monetary gifts received from abroad liable tax?**

If the aggregate value of monetary gift received during the year by an individual or HUF exceeds Rs. 50,000 and the gifts are not covered under section 92(3) of the Income Tax Act'2025, then gifts whether received from India or abroad will be charged to tax.

- **An Individual received different gifts (cash) from his friends, none of the gift exceeded Rs. 50,000 but the total of the gifts received during the year exceeded Rs. 50,000. What will be the tax treatment in such a case?**

Sum of money received without consideration is chargeable to tax if the aggregate value of such sum received during the year exceeds Rs. 50,000. The important point to be noted in this regard is the "aggregate value of such sum received during the tax year". The taxability of the gift is determined on the basis of the aggregate value of gift received during the year and not on the basis of individual gift. Hence, if the aggregate value of gifts received during the year exceeds Rs. 50,000, then aggregate value of such gifts received during the year will be charged to tax.

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Section 92(3): Exclusions from the Scope of Section 92(2)(m)

As per section 92(3)

The provisions of sub-section (2)(m) shall not apply to any sum of money or any property received—

- (a) from any relative; or*
- (b) on the occasion of marriage of the individual; or*
- (c) under a will or by way of inheritance; or*
- (d) in contemplation of death of the payer or donor; or*
- (e) from any local authority as defined in Schedule III (Note 6); or*
- (f) from or by any registered non-profit organization as defined in section 355(g), except when received by any person referred to in section 355(h); or*
- g) by way of a transaction not regarded as transfer under section 70(1)(a), (c), (d), (e), (f), (g), (i), (j), (k), (l), (n), (o), (t), (u), (v) or (w); or*
- (h) from an individual by a trust created or established solely for the benefit of relative of the individual; or*
- (i) from such class of persons and subject to such conditions, as may be prescribed.*

Analysis: No substantial changes from the earlier provision of proviso to section 56(2)(x) Income Tax Act, 1961. The position remain same that gifts, from relative or on the occasion of marriage etc. are not taxable.

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Section 92(4) of the Income Tax Act'2025

As per section 92(4)

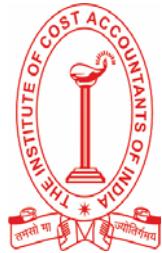
“(4) For the purposes of **sub-section (2)(m)(ii)**,—

(a) if the date of agreement fixing the amount of consideration for the transfer of immovable property and the date of registration are not the same, the stamp duty value on the date of agreement shall apply, provided the consideration, in whole or in part, has been paid in **specified banking or online mode as defined in section 66(32)** on or before the date of agreement for transfer of such immovable property;

(b) if the stamp duty value of immovable property is disputed by the assessee on the grounds mentioned in section 78(2), the Assessing Officer may refer the valuation of such property to a Valuation Officer, and the provisions of sections 78(2) and 288(1) (Table: Sl. No. 8) shall, as far as may be, apply to the stamp duty value of such property as they apply for valuation of capital asset under those sections.”

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Section 92(4) read with section 92(2)(m)(ii) and section 66(32) of the Income Tax Act'2025

Further section 92(2)(m)(ii) states that

(ii) any immovable property—

(A) without consideration, the stamp duty value of which exceeds ₹ 50000, the stamp duty value of such property;

(B) for a consideration, the stamp duty value of such property that exceeds such consideration, if this excess amount is more than the higher of the following amounts:—

(I) ₹ 50000; or

(II) 10% of the consideration;

For the purposes of Section 92(2)(m)(ii), the stamp duty value is to be considered for taxing the receipt of immovable property, whether with or without consideration, where the conditions specified therein are satisfied.

In this regard, **Section 92(4)(a)** provides that where there is a difference between the date of agreement and the date of registration of the immovable property, the stamp duty value as on the date of the agreement shall be adopted, provided that the consideration, in whole or in part, has been paid on or before the date of such agreement through a specified banking or online mode as defined in **Section 66(32)**.

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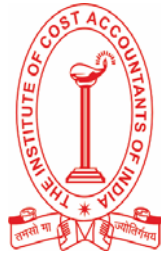


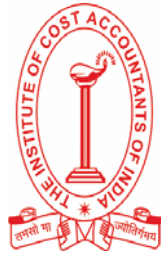
Section 92(4) read with section 92(2)(m)(ii) and section 66(32) of the Income Tax Act'2025

Section 66(32), in turn, defines “**specified banking or online mode**” to mean payment by way of an account payee cheque, account payee bank draft, electronic clearing system through a bank account, or such other prescribed electronic modes where a new electronic payment mode “***Tier-III: Full KYC Central Bank Digital Currency wallets, P-CBDC, Wholesale/Cross-border CBDC***” *has been now added in rule 48 of the Income Tax Rule, 26. This explicit inclusion marks a departure from conventional banking-centric payment recognition towards a broader, technology-neutral framework.*

By bringing CBDC-based payments within the recognized electronic payment ecosystem, the rules align tax law with India’s evolving digital payment architecture while ensuring that emerging payment mechanisms are seamlessly integrated into compliance and deduction frameworks.

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Illustrative Analysis of Section 92(4)(a) read with Section 92(2)(m)(ii)

Understanding Sections 92(4)(a) and 92(2)(m)(ii) through a flowchart illustration:

Mr. A purchase a land for Rs. 50,00,000



Agreement and Registration dates are different.



Section 92(4)(a) applies

SDV of Agreement date = Rs. 54,00,000 (**Rs. 10,00,000 received in advance through specified mode**)

SDV of Registration Date = Rs. 56,00,000



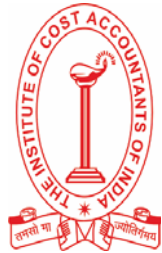
Adopt SDV as per agreement date as per the provision of section 92(4)(a) i.e. Rs. 54,00,000



Now, Difference between SDV and Consideration Rs. (54,00,000 - 50,00,000) = Rs. 4,00,000

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Illustrative Analysis of Section 92(4)(a) read with Section 92(2)(m)(ii)

Understanding Sections 92(4)(a) and 92(2)(m)(ii) through a flowchart illustration:

Apply Threshold Test

As per section 92(2)(m)(ii) the threshold for taxability under Income From Other Sources is **difference between SDV and consideration should be higher Of (Rs. 50,000 and 10% of consideration) (i.e. Higher of 50,000 and 10% of 50,00,000) = Rs. 5,00,000**



In the given scenario **difference is not more than threshold** (i.e. $4,00,000 < 5,00,000$)

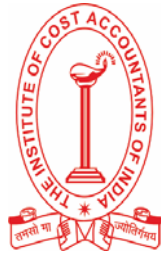


Hence, Not taxable under 92(2)(m)(ii)

Alternatively, if the **consideration was not paid on the date of agreement**, then the stamp duty value (SDV) as on the registration date has to be considered i.e., ₹56,00,000, the difference of ₹6,00,000 (₹56,00,000 – ₹50,00,000) exceeds the prescribed threshold. Accordingly, the entire excess amount of ₹6,00,000 shall be chargeable to tax in the hands of Mr. A (buyer) under the head 'Income from Other Sources'.

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Section 92(5) of the Income Tax Act'2025

As per section 92(5)

Section 92(5) of the Income-tax Act, 2025, provides definitions of certain terms used in sub-sections (1) to (4) of Section 92, including “assessable”, “card game and other game of any sort”, “fair market value”, “jewellery”, “lottery”, “property”, “relative”, and “unit linked insurance policy”.

If we talk about section 92(5)(g), which defines the term “relative”, states that

(g) “relative” means—

(i) in case of an individual—

(A) spouse;

(B) brother or sister;

(C) brother or sister of the spouse;

(D) brother or sister of either of the parents;

*(E) any lineal ascendant (**maternal as well as paternal**) or descendant;*

*(F) any lineal ascendant (**maternal as well as paternal**) or descendant of the spouse;*

(G) spouse of the person referred to in items (B) to (F); and

(ii) for a Hindu undivided family, any member thereof;

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Section 92(5) of the Income Tax Act'2025

Interpretation

Section 92(5)(g) of the Income-tax Act, 2025, which replaces the erstwhile Section 56 of the Income-tax Act, 1961, now expressly includes the term “maternal as well as paternal ascendant.”

*Under the **Income Tax Act, 1961**, the term "relative" included lineal ascendants of an individual and their spouse. However, the Act did not explicitly clarify whether this encompassed both maternal and paternal lineage. But under the **Income Tax Act, 2025**, it clearly states that lineal **ascendants** of both the individual and their spouse—whether maternal or paternal—shall be considered as relatives.*

The aforesaid changes may be better understood with the help of the following example:

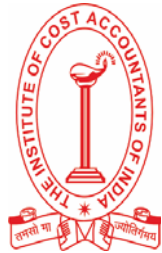
If Mr. A is the individual in question, then the following persons shall fall within the scope of "relative":

Paternal grandfather and grandmother

Maternal grandfather and grandmother

Similarly, the paternal and maternal grandparents of Mr. A's spouse.

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Section 92 – Income From Other Sources

Litigation Implications of Replacing Section 56 with Section 92

Section 92 of the Income Tax Act, 2025 is not entirely new, it is a restructuring of **Section 56 of the Income Tax Act, 1961**, so earlier case laws remain highly relevant. In gift taxation, courts have consistently applied strict interpretation, which continues under the new law. Stamp duty valuation disputes and the right to challenge FMV remain key litigation areas. One important improvement is codification of agreement vs registration date principles. However new wording in section 92(2)(m)(ii) (“that exceeds”) vs. earlier wordings in section 56(2)(x) (“as exceeds”) and using new prescribed electronic payment mode (CBDC) may create fresh disputes.

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Section-93 of Income Tax Act, 2025

Deductions



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Section 93 – Deductions

(1) The income chargeable under the head “Income from other sources” shall be computed after making the following deductions:—

(a) for interest on securities, any reasonable sum paid as commission or remuneration to a banker or any other person for the purpose of realising such interest on behalf of the assessee;

(b) for income of the nature referred to in section 92(2)(c), so far as may be, an amount as per section 29(1)(e). (Refer Note – 1)

(c) for income of the nature referred to in section 92(2)(f) and (g), so far as may be, an amount as per section 28(1)(a), (b), (d), section 33, and subject to the provisions of section 28(2);

(d) for income in the nature of family pension (a regular monthly amount payable by the employer to a family member of an employee upon the death of such employee), (Refer Note -2)

(i) an amount equal to one-third of such income or ₹ 25000, whichever is less, where income-tax is computed under section 202(1); and

(ii) an amount equal to one-third of such income or ₹ 15000, whichever is less, in any other case;

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Section 93 – Deductions

(e) any other expenditure (not being in the nature of capital expenditure) laid out or expended wholly and exclusively for making or earning such income;

(f) for income of the nature referred to in section 92(2)(i), an amount equal to 50% of such income and no other deduction shall be allowed under this section;

(g) for income in the nature of commutation of pension received from a fund as specified in Schedule VII (Table: Sl. No. 3), the entire amount;

(h) for income in the nature of gratuity as referred in section 19(2)(g), received on the death of the employee, the entire amount.

(2) Irrespective of anything contained in sub-section (1), in respect of any dividend income or income from units of a Mutual Fund specified under Schedule VII (Table: Sl. No. 20 or 21) or income from units of a specified company as referred to in section 2(h) of the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002, no deduction shall be allowed.”. (Refer Note -3)

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Section 93 – Deductions

Notes 1: Deduction of Employees Contribution to Relevant Funds.

Finance Act, 2026 has amended the provision of Section 29(1)(e) of the Income Tax Act, 2025 and following provision has been added:

“The amount of contribution received from an employee to which the provisions of section 2(49)(o) apply, if it is credited by the assessee to the account of the employee in the relevant fund or funds, on or before the due date of filing of return of income under section 263(1) for the tax year.”

➤ **Impact:**

Section 92(2)(c) of Income Tax Act, 2025: Any sum received by an assessee from employees as contributions to specified funds (e.g., PF, superannuation fund) is treated as income as other source, if it is not chargeable under the head Profits and Gains of Business or Profession (PGBP).

Section 93(1)(b) of Income Tax Act, 2025: While computing such income, a deduction is allowed for amounts as specified under Section 29(1)(e).

Section 29(1)(e) of Income Tax Act, 2025: Post Amendment in **Finance Act'2026**, deduction is allowed even if the employee contribution is credited to the relevant fund on or before the **due date of filing the return of income under Section 263(1)**.

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Section 93 – Deductions

Example with Simple Calculation

Particulars: Employee contribution collected (PF/ESI): ₹1,00,000

Due date under PF Act: 15th April 2026

Actual date of deposit: 30th September 2026 (before ROI due date), Tax rate: 30%

Deposit beyond Relevant fund due date – Disallowed (**Before Amendment**)

Taxable Income increases by: ₹1,00,000

Additional Tax Liability: $₹1,00,000 \times 30\% = ₹30,000$

Deposit before return filing due date – Allowed (**Post Amendment**)

No disallowance

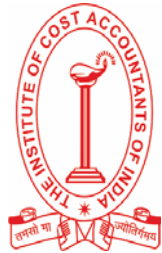
Taxable Income: No Income increased & Tax Liability: Nil impact

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Deduction for Family Pension

Notes:2 Illustration on Deduction of Family Pension



FAMILY PENSION DEDUCTION		
Particulars	Section 202(1) [New Tax Regime]	Other Cases (Old Regime)
Deduction Allowed	1/3rd of income or ₹25,000 (whichever is less)	1/3rd of income or ₹15,000 (whichever is less)
For Example Income	₹ 90,000	₹ 90,000
1/3rd of Income	₹ 30,000	₹ 30,000
Maximum Limit	₹ 25,000	₹ 15,000
Deduction Allowed	₹ 25,000	₹ 15,000
Taxable Income	₹ 65,000	₹ 75,000

The provision allows deduction on family pension with two limits based on the tax regime. A higher cap of ₹25,000 applies where tax is computed under Section 202(1), while ₹15,000 applies in other cases (Old Regime). This creates a differential benefit, impacting the taxable portion of family pension income.

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Section 93 – No Deductions for Interest Expense

Notes:3 No Deduction of Interest Expenses

Finance Act, 2026 has amended the provision of Section 93 of Income Tax Act, 2025 and following provision has been added:

“(2) Irrespective of anything contained in sub-section (1), in respect of any dividend income or income from units of a Mutual Fund specified under Schedule VII (Table: Sl. No. 20 or 21) or income from units of a specified company as referred to in section 2(h) of the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002, no deduction shall be allowed.”.

- **Impact:** Post amendment, the deduction of interest expenditure against dividend income or income from UTI, which was earlier restricted to 20% of such income, has been completely withdrawn. As a result, no deduction shall now be allowed for any interest expenses incurred in earning such income, leading to taxation of dividend or UTI income on a gross basis.

This change increases the overall tax burden, particularly for taxpayers who have financed their investments through borrowings to earn such income.

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Rule 164 of The Income Tax Rule'2026

Rule: 164 of the Income Tax Rules, 2026

➤ Return of Income

A **new condition has been introduced** under sub rule 6(e) of Rule 164: A person shall not be eligible to file ITR-4, if he —

“(e) has claimed deduction under section 93, other than deduction claimed under section 93(1)(d) thereof; or”

- **Impact:** This amendment introduces an additional exclusion condition under Rule 164(6), thereby expanding the list of persons not eligible to file ITR-4.

Consequently, the scope of ITR-4 is narrowed by excluding taxpayers who claim deductions under Section 93 (other than Section 93(1)(d)- Family Pension). Such taxpayers will be required to shift to other applicable ITR forms if they fall within the exclusion criteria specified under this rule.

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Section-94 of Income Tax Act, 2025

Amounts not deductible



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Section 94 – Amounts not deductible

“(1) Irrespective of anything contained in section 93, the following amounts shall not be deductible in computing the income of any assessee chargeable under the head “Income from other sources”:—

(a) any personal expenses of the assessee; or

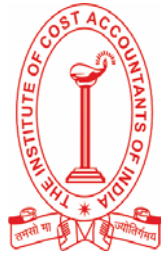
(b) any interest chargeable under this Act, payable outside India, on which tax has not been paid or deducted under Chapter XIX-B; or

(c) any payment chargeable under the head “Salaries”, if it is payable outside India, unless tax has been paid or deducted under Chapter XIX-B.

(2) The provisions of sections 29, 35(b)(i), and 36 shall apply in computing the income chargeable under the head “Income from other sources” as they apply in computing the income chargeable under the head “Profits and gains of business or profession”.

(3) For an assessee, being a foreign company, the provisions of section 59 shall apply in computing the income chargeable under the head “Income from other sources”, as they apply in computing the income chargeable under the head “Profits and gains of business or profession”.

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Section 94 – Amounts not deductible

(4) In computing the income from winnings from lotteries, crossword puzzles, races including horse races, card games and other games of any sort, or from gambling or betting of any form or nature, no deduction for any expenditure or allowance related to such income shall be allowed under this Act.

(5) Sub-section (4) shall not apply in computing the income of an assessee, being the owner of horses maintained for running in horse races, from the activity of owning and maintaining such horses.

(6) For the purposes of this section, the expression “horse race” means a horse race upon which wagering or betting may be lawfully made.”

Note: There are no major changes introduced in Section 94 of the Income Tax Act, 2025. However, the provisions relating to deductions for employee welfare have now been consolidated under Section 29 of the Income Tax Act, 2025. Under the erstwhile law, such provisions were scattered across multiple sections, including Sections 37, 40A, and other relevant provisions. The provisions of Section 29 of this Act hold equal significance in the context of the Chapter relating to Income from Other Sources (IFOS).

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Section-95 of Income Tax Act, 2025

Profits chargeable to tax



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Section 95 – Profits chargeable to tax

“The provision of section 38(1), (2), (3) and (4) shall apply in computing the income of an assessee under section 92, as they apply in computing the income of an assessee under the head “Profits and gains of business or profession”.

This section **introduces references to sub-sections (2), (3), and (4) of Section 38** of the Income Tax Act 2025, which were not covered in the corresponding provision of the Income Tax Act, 1961.

- **Impact:** This provision expands the scope of taxability under the head “Income from Other Sources” by including sub section (2), (3), and (4) of Section 38 of the Income Tax Act, 2025. However, these clauses are primarily linked to business-related deductions such as depreciation, scientific research expenditure, and bad debts, which are generally not allowable under this head. Therefore, despite the expanded scope, the provision is relatively limited in the context of IFOS and would apply only in exceptional cases.

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Thank You



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